Financial Analysis Report

✓ Verified Report

Generated on 17 Oct 2026 | Entity Financial Analysis

Executive Performance Overview

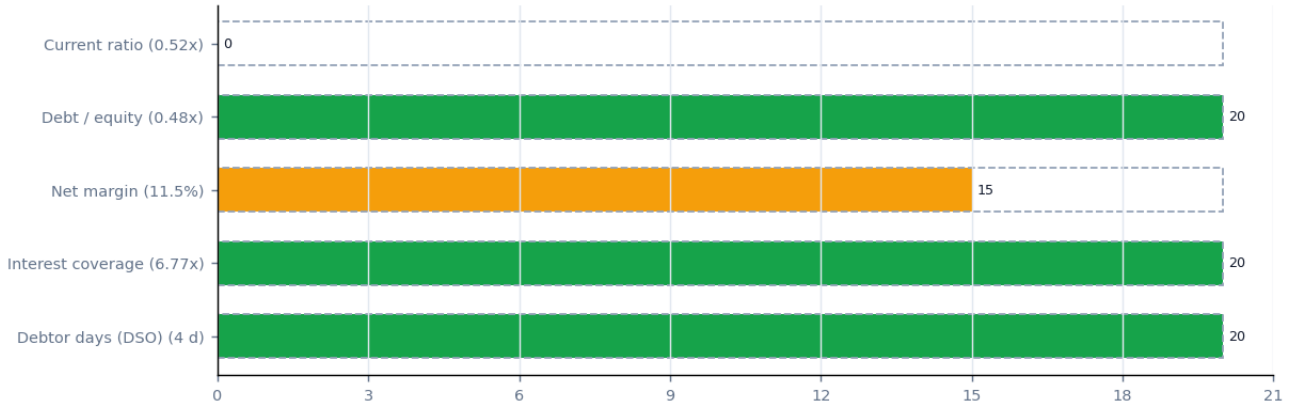
Health Score	Gross Margin	EBITDA Margin	Net Margin	Current Ratio
75/100	62.29%	24.79%	11.50%	0.52x
Rating: Good	2026-03-31	2026-03-31	2026-03-31	2026-03-31

Executive Summary

0.62x is the latest reading for this metric.

Financial Health Scorecard — 75/100 (Good)

Points earned per driver (dashed = maximum). Weakest driver: Current ratio.

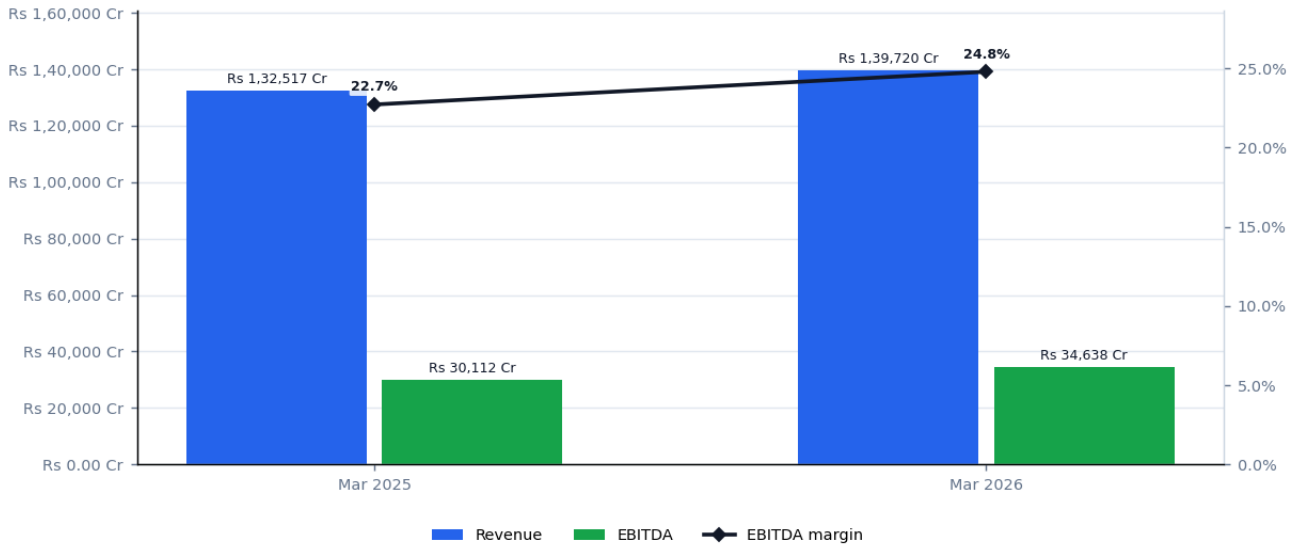


Profitability & Margin Analysis

0.20x is the latest reading for this metric.

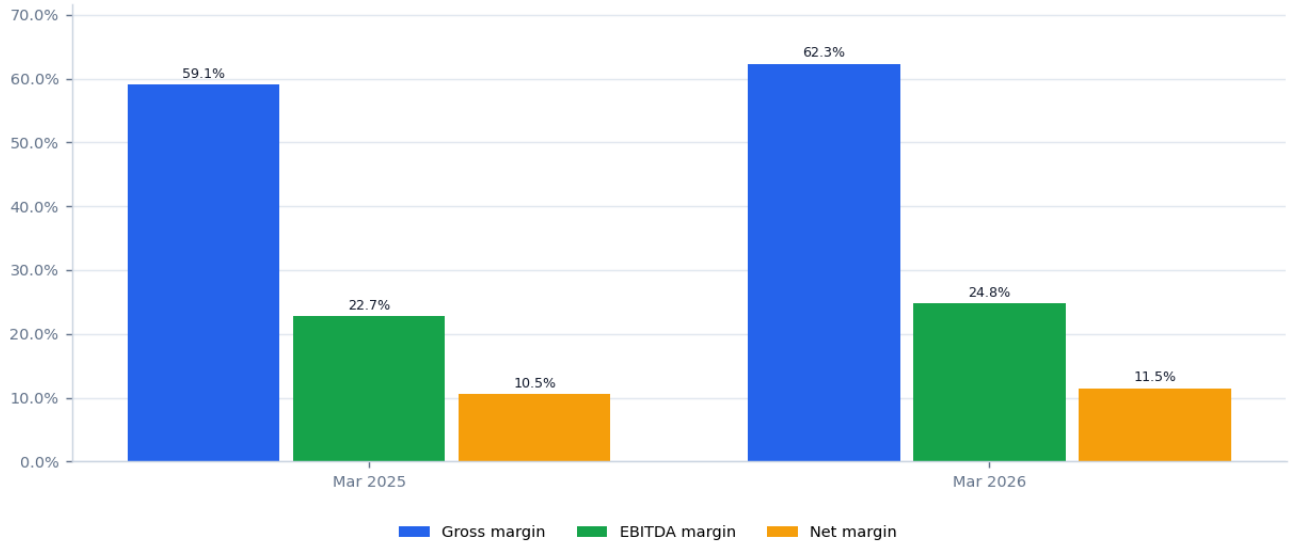
Revenue, EBITDA & EBITDA Margin

Revenue Rs 1,32,517 Cr → Rs 1,39,720 Cr (+5.4%); EBITDA margin 22.7% → 24.8% (+2.1 pp)



Margin Profile

Gross margin 59.1% → 62.3% (+3.2 pp); EBITDA margin 22.7% → 24.8% (+2.1 pp); Net margin 10.5% → 11.5% (+1.0 pp)

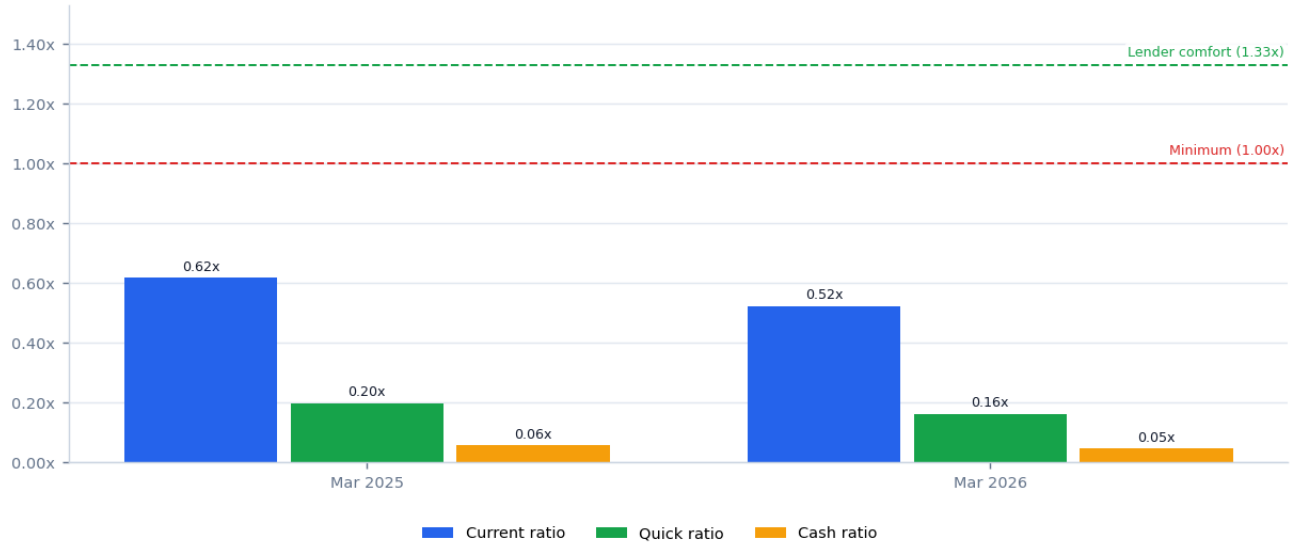


Liquidity & Short-Term Solvency

0.06x is the latest reading for this metric.

Liquidity Ratios vs. Benchmarks

Current ratio 0.62x → 0.52x (-0.09x); Quick ratio 0.20x → 0.16x (-0.04x)

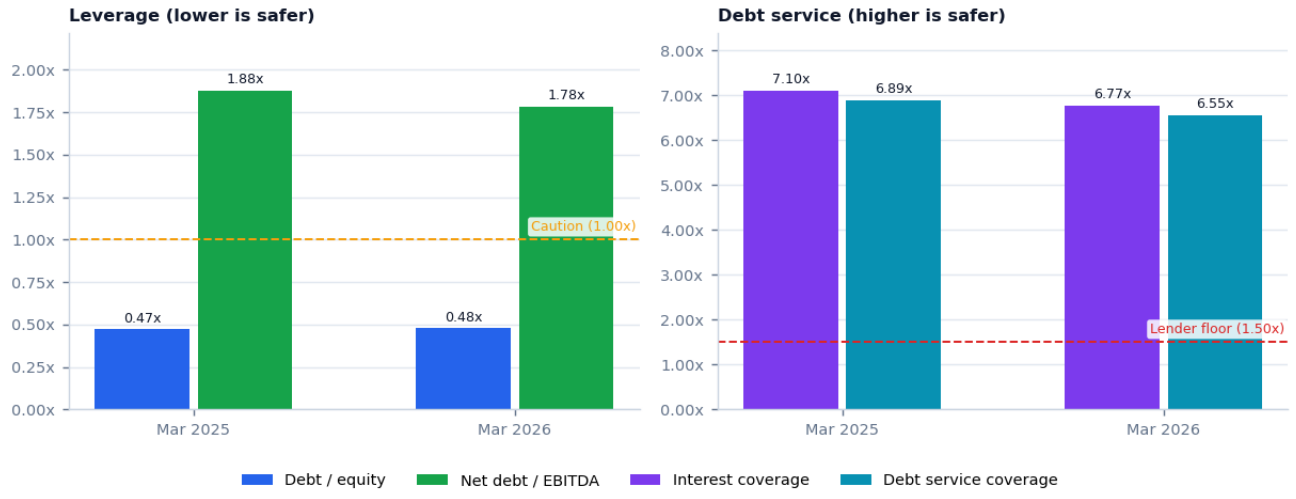


Leverage, Capital Structure & Debt Coverage

0.47x is the latest reading for this metric.

Leverage & Debt-Service Capacity

Debt / equity 0.47x → 0.48x (+0.01x); Interest coverage 7.10x → 6.77x (-0.34x)

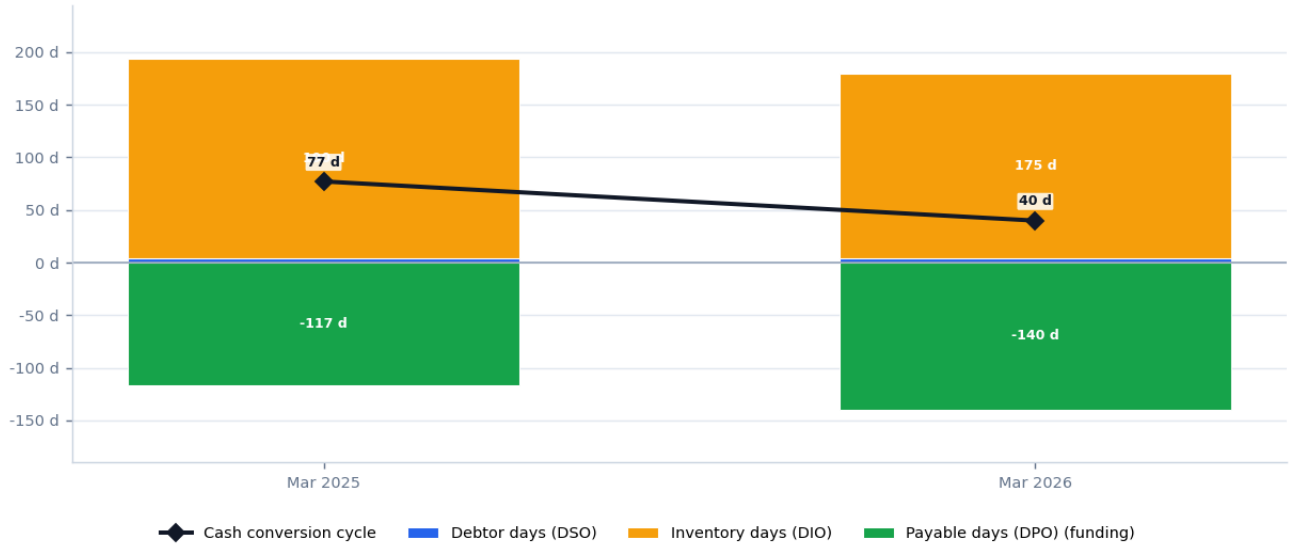


Working Capital & Operating Cash Cycles

Rs 30,112.39 Cr is the latest reading for this metric.

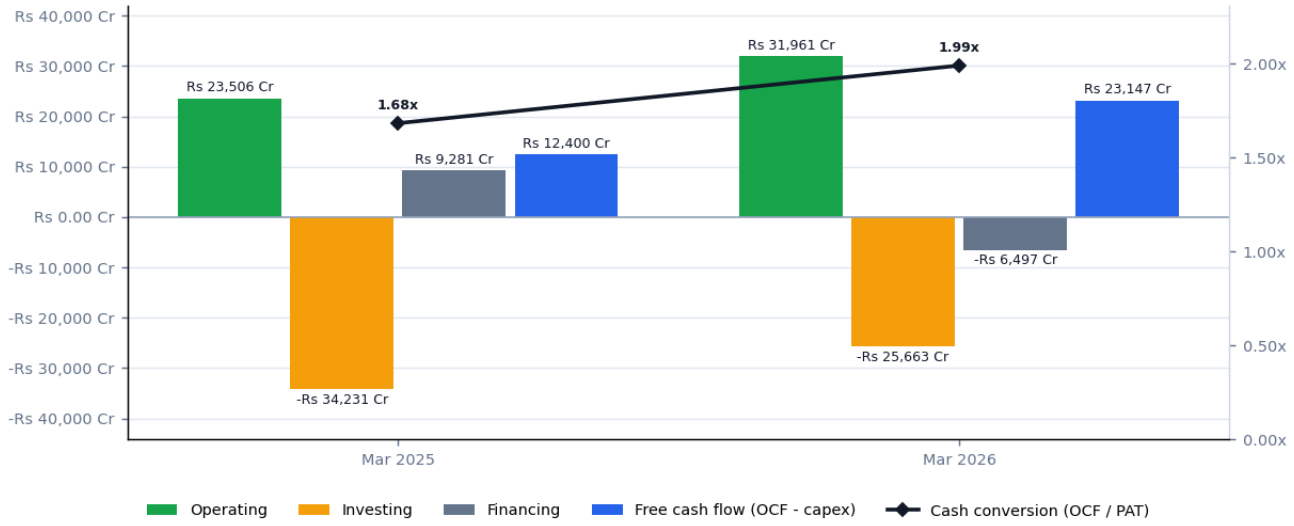
Working Capital Cycle (Days)

Cash conversion cycle 77 d → 40 d (-37.2 days); payables (negative) fund part of the cycle



Cash Flow Profile

Operating cash flow Rs 23,506 Cr → Rs 31,961 Cr (+36.0%); Free cash flow Rs 12,400 Cr → Rs 23,147 Cr (+86.7%); OCF / PAT 1.68x → 1.99x (+0.31x)

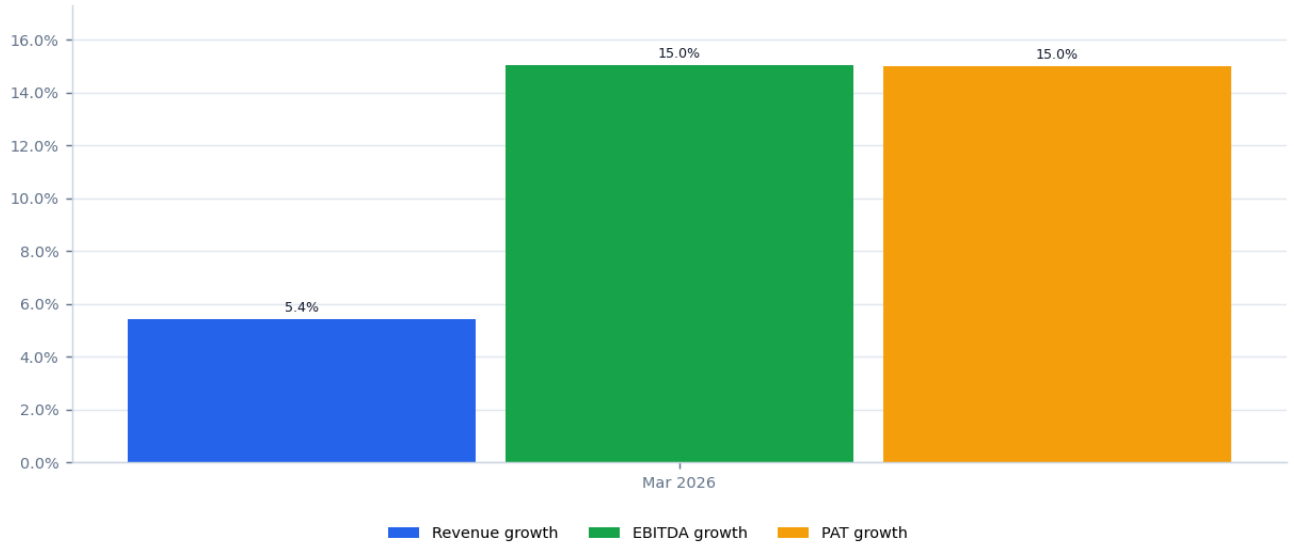


Growth Trends & Capital Returns

Analysis and root-cause evaluation for Growth Trends & Capital Returns based on validated metrics. Virtual CFO Diagnostic Guidance: Monitor Revenue Growth and investigate operational drivers. Management Action Point: Are premium SKUs being discounted or is the sales team pushing lower-value deals to chase volume targets?

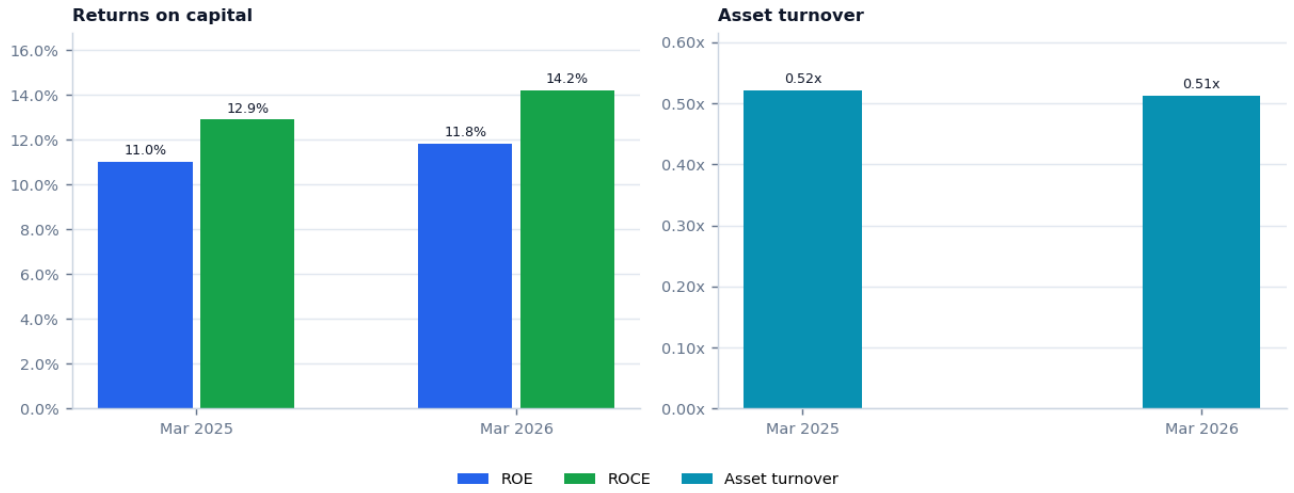
Year-over-Year Growth

Latest: Revenue growth 5.4%, EBITDA growth 15.0%, PAT growth 15.0% — profit growing ahead of sales (operating leverage)



Returns on Capital & Asset Efficiency

ROE 11.0% → 11.8% (+0.8 pp); ROCE 12.9% → 14.2% (+1.3 pp)

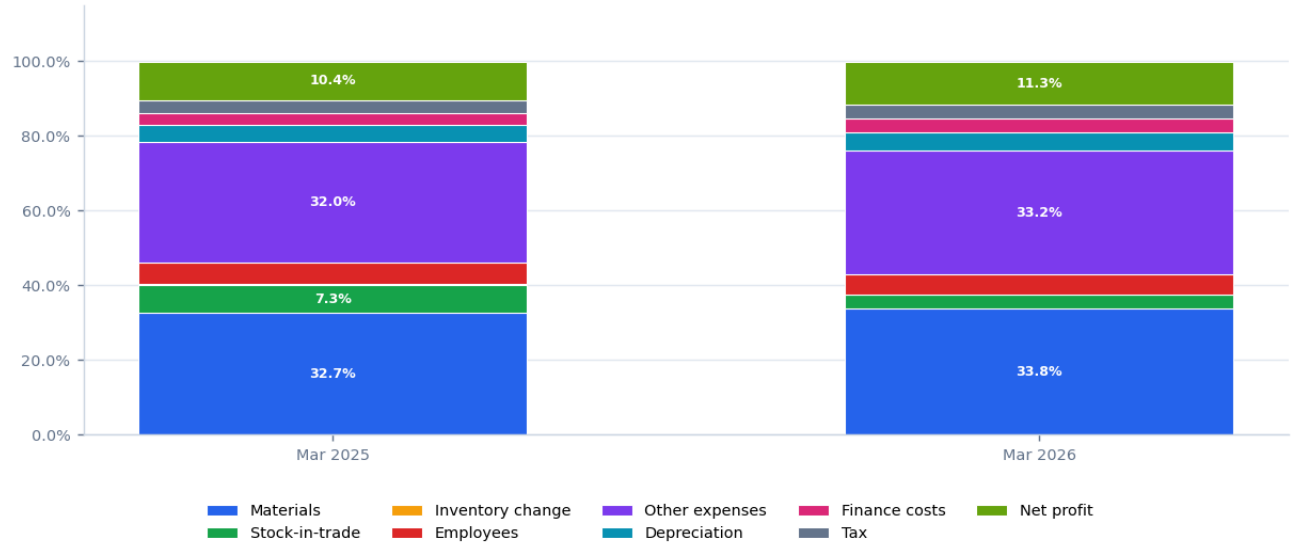


Cost Structure & Expenditure Breakdown

Analysis and root-cause evaluation for Cost Structure & Expenditure Breakdown based on validated metrics. Virtual CFO Diagnostic Guidance: Monitor Employee Cost and investigate operational drivers. Management Action Point: What is our revenue per employee trend over the last 8 quarters?

Where Each Rupee of Income Goes

Mar 2026: Materials takes 33.8% of every rupee of income; 11.3% is kept as profit (was 10.4%)

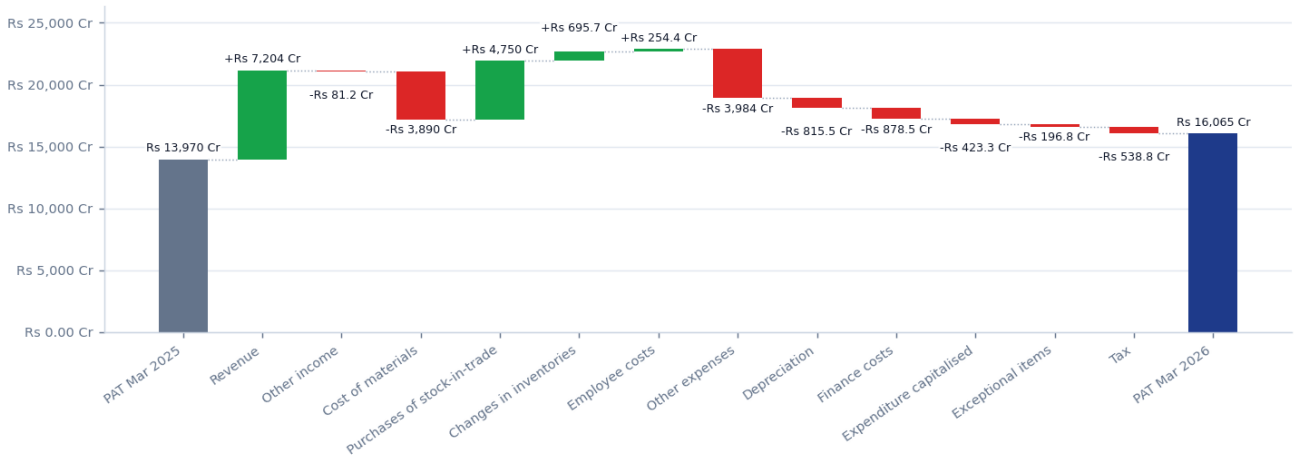


Detailed Statement Analysis

Analysis and evaluation for Detailed Statement Analysis based on validated metrics.

PAT Bridge — What Moved Profit

PAT Rs 13,970 Cr → Rs 16,065 Cr; biggest lift: Revenue (Rs 7,204 Cr), biggest drag: Other expenses (-Rs 3,984 Cr)



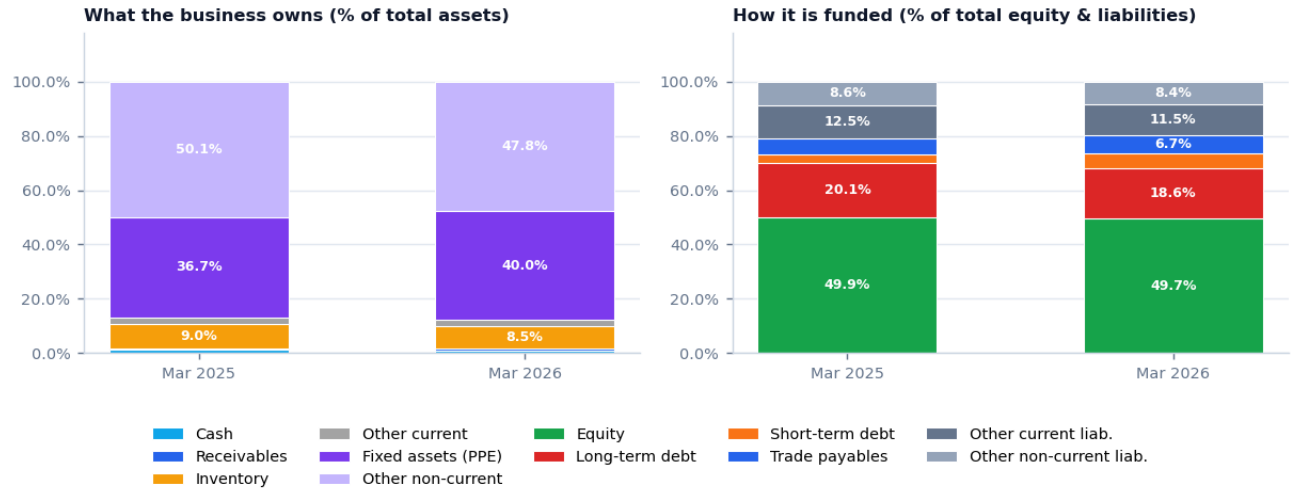
DuPont ROE Decomposition

ROE 11.0% → 11.9% (+0.8 pp), driven mostly by net margin (+9.1%)



Balance Sheet Structure

Mar 2026: equity funds 49.7% of total equity & liabilities; fixed assets (PPE) are 40.0% of total assets



Risk Assessment & Anomaly Flags

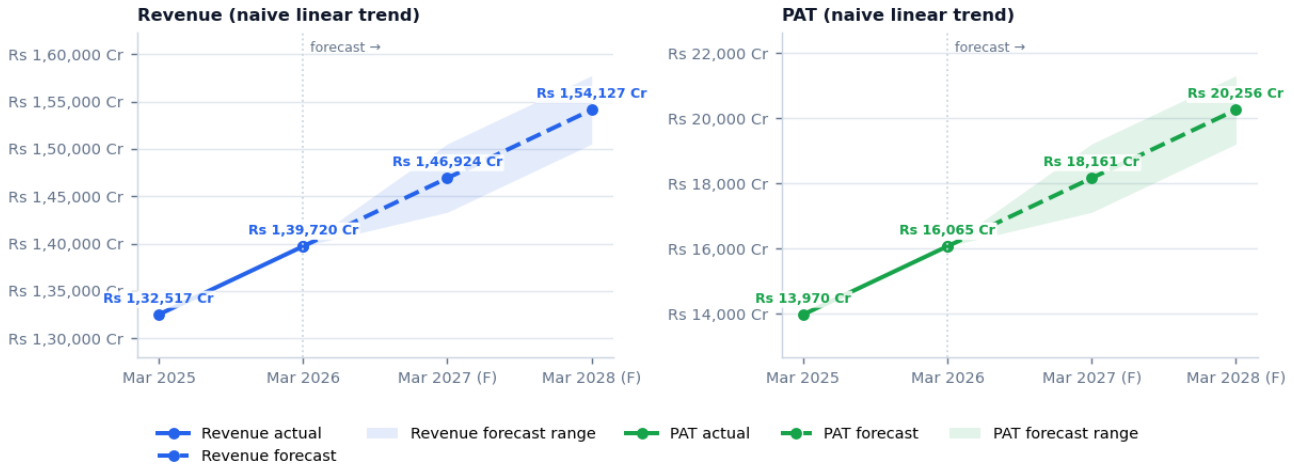
Analysis and evaluation for Risk Assessment & Anomaly Flags based on validated metrics.

Financial Projections & Future Outlook

Analysis and evaluation for Financial Projections & Future Outlook based on validated metrics.

Revenue & Profit Outlook (with forecast range)

Revenue Rs 1,39,720 Cr → Rs 1,54,127 Cr by Mar 2028; PAT Rs 16,065 Cr → Rs 20,256 Cr by Mar 2028 — shaded area is the forecast uncertainty range



Supporting tables

Detailed Statement Analysis — Supporting Tables

Horizontal analysis — Profit & Loss

Each line's value by period and its change in the latest period.

Line item	2025-03-31	2026-03-31	YoY % (2026-03-31)
Revenue from Operations	Rs 1,32,516.66 Cr	Rs 1,39,720.22 Cr	5.44%
Other Income	Rs 2,246.90 Cr	Rs 2,165.70 Cr	-3.61%
Cost of Materials Consumed	Rs 44,088.93 Cr	Rs 47,978.73 Cr	8.82%
Employee Benefit Expense	Rs 8,010.08 Cr	Rs 7,755.70 Cr	-3.18%
Other Expenses	Rs 43,170.46 Cr	Rs 47,154.30 Cr	9.23%
Depreciation and Amortization Expense	Rs 6,253.16 Cr	Rs 7,068.68 Cr	13.04%
Finance Costs	Rs 4,238.35 Cr	Rs 5,116.88 Cr	20.73%
Profit Before Tax	Rs 18,718.84 Cr	Rs 21,353.10 Cr	14.07%
Tax Expense	Rs 4,749.14 Cr	Rs 5,287.97 Cr	11.35%
Profit After Tax	Rs 13,969.70 Cr	Rs 16,065.13 Cr	15.00%

Common-size P&L — % of revenue

Vertical analysis: cost lines rising as a share of revenue compress margins.

Line item	2025-03-31	2026-03-31
Revenue from Operations	100.00%	100.00%
Other Income	1.70%	1.55%
Cost of Materials Consumed	33.27%	34.34%
Employee Benefit Expense	6.04%	5.55%
Other Expenses	32.58%	33.75%
Depreciation and Amortization Expense	4.72%	5.06%
Finance Costs	3.20%	3.66%
Profit Before Tax	14.13%	15.28%
Tax Expense	3.58%	3.78%
Profit After Tax	10.54%	11.50%

Balance sheet composition — % of total assets

Line item	2025-03-31	2026-03-31
Cash and Cash Equivalents	1.22%	1.07%
Trade Receivables	0.62%	0.60%
Inventories	9.02%	8.45%
Total Current Assets	13.26%	12.24%
Property, Plant and Equipment	36.68%	39.99%
Trade Payables	5.56%	6.74%
Short-term Borrowings	3.40%	5.15%
Total Current Liabilities	21.44%	23.37%
Long-term Borrowings	20.08%	18.58%
Total Equity	49.87%	49.69%

DuPont decomposition of ROE

ROE = net margin × asset turnover × equity multiplier.

Period	Net margin	Asset turnover	Equity multiplier	ROE
2025-03-31	10.54%	0.52x	2.01x	11.02%
2026-03-31	11.50%	0.51x	2.01x	11.85%

Compound annual growth (CAGR)

CAGR is left blank where a start or end value is not positive.

Series	From	To	Start	End	Years	CAGR
Revenue	2025-03-31	2026-03-31	Rs 1,32,516.66 Cr	Rs 1,39,720.22 Cr	1.00	5.44%
EBITDA	2025-03-31	2026-03-31	Rs 30,112.39 Cr	Rs 34,637.52 Cr	1.00	15.03%
PAT	2025-03-31	2026-03-31	Rs 13,969.70 Cr	Rs 16,065.13 Cr	1.00	15.00%
Total assets	2025-03-31	2026-03-31	Rs 2,54,132.74 Cr	Rs 2,72,747.42 Cr	1.00	7.32%

Profit bridge — PAT 2025-03-31 → 2026-03-31

Each line's change, signed by its effect on PAT.

Step	PAT impact
PAT 2025-03-31	Rs 13,969.70 Cr
Revenue	+Rs 7,203.56 Cr
Other income	-Rs 81.20 Cr
Cost of materials	-Rs 3,889.80 Cr
Purchases of stock-in-trade	+Rs 4,749.60 Cr
Changes in inventories	+Rs 695.69 Cr
Employee costs	+Rs 254.38 Cr
Other expenses	-Rs 3,983.84 Cr
Depreciation	-Rs 815.52 Cr
Finance costs	-Rs 878.53 Cr
Expenditure capitalised	-Rs 423.26 Cr
Exceptional items	-Rs 196.82 Cr
Tax	-Rs 538.83 Cr
PAT 2026-03-31	Rs 16,065.13 Cr

Working capital & net debt

Period	Working capital	Total debt	Net debt	Net debt / EBITDA

2025-03-31	-Rs 20,780.02 Cr	Rs 59,681.42 Cr	Rs 56,569.49 Cr	1.88x
2026-03-31	-Rs 30,339.72 Cr	Rs 64,704.18 Cr	Rs 61,791.39 Cr	1.78x

■ Virtual CFO Data Diagnostic

Data Diagnostic: Ledger Integrity & Virtual CFO Root-Cause Analysis

1. Dataset Ingestion & Ledger Integrity Audit

Financial Facts	195 line items	**Reconciliation Status**	**Verified & 100% Balanced**
Reporting Periods	2025-03-31 to 2026-03-31 (2 reporting periods)	**Mapping Confidence**	100.0%
Statements Covered	Balance Sheet, Cash Flow Statement, Profit & Loss		

Statement Reconciliation Checks:

Reconciliation Check	Status	Variance / Delta
Balance Sheet Balancing (Total Assets = Total Equity & Liabilities) — 2025-03-31	Pass	Exact match
Cash Flow Tie (Net Cash Movement = Cash & Cash Equivalents Change) — 2025-03-31	Pass	Exact match
Current + Non-current Assets = Total Assets — 2025-03-31	Pass	Exact match
Equity + Non-current + Current Liabilities = Total Equity & Liabilities — 2025-03-31	Pass	Exact match
P&L Expense Lines Tie to Stated Total Expenses — 2025-03-31	Pass	Exact match

Total Income - Total Expenses = Profit Before Exceptional Items & Tax — 2025-03-31	Pass	Exact match
Profit Before Exceptional Items + Exceptional Items = PBT — 2025-03-31	Pass	Exact match
PBT - Tax = Profit After Tax — 2025-03-31	Pass	Exact match
P&L Arithmetic Continuity (Recomputed PAT = Stated PAT) — 2025-03-31	Pass	Exact match
Balance Sheet Balancing (Total Assets = Total Equity & Liabilities) — 2026-03-31	Pass	Exact match
Cash Flow Tie (Net Cash Movement = Cash & Cash Equivalents Change) — 2026-03-31	Pass	Exact match
Current + Non-current Assets = Total Assets — 2026-03-31	Pass	Exact match
Equity + Non-current + Current Liabilities = Total Equity & Liabilities — 2026-03-31	Pass	Exact match
P&L Expense Lines Tie to Stated Total Expenses — 2026-03-31	Pass	Exact match
Total Income - Total Expenses = Profit Before Exceptional Items & Tax — 2026-03-31	Pass	Exact match
Profit Before Exceptional Items + Exceptional Items = PBT — 2026-03-31	Pass	Exact match
PBT - Tax = Profit After Tax — 2026-03-31	Pass	Exact match
P&L Arithmetic Continuity (Recomputed PAT = Stated PAT) — 2026-03-31	Pass	Exact match
Reserves Continuity (Opening Reserves + Comprehensive Income - Dividends = Closing) — 2026-03-31	Pass	Exact match
Debtor Ageing: 'Total trade receivables (net)' = statement BS.CA.TRADE_RECEIVABLES — 2026-03-31	Pass	Exact match

Debtor Ageing: 'Total trade receivables (net)' = statement BS.CA.TRADE_RECEIVABLES — 2025-03-31	Pass	Exact match
Inventory: 'Total Inventories' = statement BS.CA.INVENTORY — 2026-03-31	Pass	Exact match
Inventory: 'Total Inventories' = statement BS.CA.INVENTORY — 2025-03-31	Pass	Exact match
Tax Filings: 'Total tax expense (P&L)' = statement PL.TAX — 2026-03-31	Pass	Exact match
Tax Filings: 'Total tax expense (P&L)' = statement PL.TAX — 2025-03-31	Pass	Exact match
Document Ingestion Deduplication (SHA-256 Hash Verification)	Pass	None

2. Virtual CFO Root-Cause Metric Diagnostics (Flowchart Compendium)

Automated 6-level reverse-flow drill-down answering *What changed? Why did it change? What caused it? What to investigate? What to ask management?*

Gross Profit Margin Expansion

```
Formula: Gross Profit Margin (%) = (Revenue - COGS) / Revenue * 100
```

1. What Changed:

Gross Profit Margin stands at 62.29% (as of 2026-03-31), moving from 59.07% in prior period. Governed mathematically by: Gross Profit Margin (%) = (Revenue - COGS) / Revenue * 100.

2. Why Did It Change (Governing Components):

- **REVENUE COMPONENT**
- **RAW MATERIAL COST**

- **DIRECT LABOUR COST**
- **DIRECT MANUFACTURING OVERHEADS**

3. Operational Root Causes:

- **Selling Price & Realization** (*REVENUE COMPONENT*): Discounting schemes increasing, adverse product mix shifts, or inadequate price hikes against input inflation
- **Commodity & Supplier Pricing** (*RAW MATERIAL COST > Purchase Price per Unit > Commodity & Supplier Inflation*): Global commodity cycle rising, supplier cost pass-through, import tariffs, or INR depreciation
- **Freight Surcharges** (*RAW MATERIAL COST > Purchase Price per Unit > Freight & Inbound Logistics*): Shipping container shortages, fuel surcharges, last-mile rate increases
- **Production Inefficiencies** (*RAW MATERIAL COST > Material Consumption & Efficiency > Wastage, Scrap & Yield Loss*): Machine calibration issues, operator errors, input-output ratio deterioration, or store pilferage

4. Operational Audit Checklist (What to Investigate):

- ■ 12-month commodity index
- ■ Batch yield production records
- ■ Bill of Materials (BOM) variance audit by batch
- ■ Boiler fuel efficiency ratios
- ■ Breakdown vs preventive maintenance logs

5. High-Impact Questions for Management:

- ■ What portion of the gross margin change is due to purchase price variance (PPV) vs material usage variance?
- ■ Are we passing input raw material inflation through to customer prices, and what is the lag time?
- ■ What is our batch yield loss across primary product lines, and how much scrap is being sold vs recycled?

EBITDA Margin Expansion

```
Formula: EBITDA Margin (%) = EBITDA / Revenue * 100 | EBITDA = Revenue - COGS - Employee Cost - S&M Expense - Admin Expense + D&A
```

1. What Changed:

EBITDA Margin stands at 24.79% (as of 2026-03-31), moving from 22.72% in prior period. Governed mathematically by: EBITDA Margin (%) = EBITDA / Revenue * 100 | EBITDA = Revenue - COGS - Employee Cost - S&M Expense -

Admin Expense + D&A.

2. Why Did It Change (Governing Components):

- **GROSS MARGIN DRIVERS (Revenue & COGS)**
- **OPERATING OVERHEADS (SG&A)**
- **OPERATING LEVERAGE & ONE-TIMERS**

3. Operational Root Causes:

- **Core Margin Spread** (*GROSS MARGIN DRIVERS (Revenue & COGS)*): Gross margin expansion or compression feeding directly into operating profit
- **Payroll Growth** (*OPERATING OVERHEADS (SG&A) > Employee Costs & Staffing*): Over-hiring ahead of revenue, annual increment cycles, or sales commission payouts
- **Customer Acquisition Spend** (*OPERATING OVERHEADS (SG&A) > Selling & Marketing Costs*): Elevated performance ad spend, distributor trade schemes, or outbound logistics freight hikes
- **Corporate Overheads** (*OPERATING OVERHEADS (SG&A) > Administrative Expenses*): Office rent escalations, high consulting fees, software SaaS proliferation, or travel spikes

4. Operational Audit Checklist (What to Investigate):

- ■ Consulting project deliverable audits
- ■ Contribution margin ratio
- ■ Customer acquisition cost (CAC)
- ■ Fixed vs variable cost proportion
- ■ Freight per unit shipped

5. High-Impact Questions for Management:

- ■ What is our fixed vs variable operating cost breakdown, and what is our current breakeven revenue level?
- ■ What is the ROAS and customer acquisition cost across active marketing channels?
- ■ Are employee headcount additions delivering proportional increases in gross revenue per employee?

Current Ratio **Liquidity Pressure**

```
Formula: Current Ratio = Current Assets / Current Liabilities
```

1. What Changed:

Current Ratio stands at 0.52x (as of 2026-03-31), moving from 0.62x in prior period. Governed mathematically by: Current Ratio = Current Assets / Current Liabilities.

2. Why Did It Change (Governing Components):

- **CURRENT ASSETS**
- **CURRENT LIABILITIES**

3. Operational Root Causes:

- **Cash & Debtors Liquidity** (*CURRENT ASSETS > Liquid Reserves & Receivables*): Cash collections from customer invoices, short-term marketable deposits, and receivable billing
- **Illiquid Current Assets** (*CURRENT ASSETS > Inventory & Advances*): Overstocking raw materials/finished goods, slow inventory turns, large supplier advance payments
- **Near-Term Obligations** (*CURRENT LIABILITIES > Payables & Short-Term Debt*): Trade payables accumulation, working capital bank overdraft/CC utilization, upcoming term loan maturities (CPLTD)
- **Customer Advances & Taxes** (*CURRENT LIABILITIES > Statutory Dues & Advances*): Unearned revenue / customer advance receipts (interest-free funding) and statutory GST/TDS dues

4. Operational Audit Checklist (What to Investigate):

- ■ 12-month debt maturity profile
- ■ 12-month forward debt maturity schedule (CPLTD + CC renewals)
- ■ Accounts receivable ledger
- ■ Advance payment schedule
- ■ Bank drawing power registers

5. High-Impact Questions for Management:

- ■ Is the current ratio supported by cash and liquid receivables, or artificially inflated by slow-moving inventory?
- ■ What is the quantum of Current Portion of Long-Term Debt (CPLTD) maturing over the next 12 months?
- ■ Are trade payables being stretched beyond normal commercial credit terms to preserve liquidity?

Debt / Equity Ratio Leverage Surge

```
Formula: D/E Ratio = Total Debt (Short-term + Long-term Borrowings) / Shareholders Equity
```

1. What Changed:

Debt / Equity Ratio stands at 0.48x (as of 2026-03-31), moving from 0.47x in prior period. Governed mathematically by: D/E Ratio = Total Debt (Short-term + Long-term Borrowings) / Shareholders Equity.

2. Why Did It Change (Governing Components):

- **TOTAL BORROWINGS**
- **SHAREHOLDERS EQUITY**

3. Operational Root Causes:

- **Debt Incurrence** (*TOTAL BORROWINGS*): Capital expenditure term loan drawdowns, working capital loan expansion to fund receivables, or debenture/bond issuances
- **Net Worth & Capital Base** (*SHAREHOLDERS EQUITY*): Consecutive operational losses eroding retained earnings, fresh equity issuance (QIP/rights/PE), or share buybacks

4. Operational Audit Checklist (What to Investigate):

- ■ Bank covenant compliance certificates and headroom analysis
- ■ Capital restructuring documentation
- ■ Equity retained earnings trend over past 3 to 5 years
- ■ Historical profit retention trend
- ■ Lender-wise debt profile including interest rates, tenors, and collateral pledged

5. High-Impact Questions for Management:

- ■ What is the purpose of recent debt additions: productive capacity capex or operational working capital funding?
- ■ Are we approaching any bank loan covenant thresholds for maximum debt-to-equity gearing?
- ■ What is our planned deleveraging schedule over the next 24 to 36 months?

3. Data Quality & Methodology Notes

All financial line items, statutory disclosures, and statement subtotal links reconciled with 100% mathematical integrity across all periods.